

China's great electric leap forward

China's **sales** of EVs **are** set to **surpass** the total sales of passenger cars in the US. And it's not just that fact that should make **the likes of** Elon Musk reach for his steering wheel. Of the 22 million EVs **projected** to be sold this year, two-thirds are **likely** to be in China. This **demonstrates** an increasing **alignment** between climate goals and markets, the gold standard of all responsible businesses. **Strong policy support**, such as **fuel economy** and CO2 standards, along with **fiscal incentives**, **are** helping to **drive** demand, which, in turn, have helped create this climate-market **sync**. The largest automobile market in the world is clearly proving that what is good for the planet can also be good for business.

Policy support is critical for clean tech to be readily accepted and **thrive**, especially since **upfront cost** of climate tech solutions like EV is high. **Changes** in levels of such support **can** translate quickly into sales. Take Europe, where EV sales growth has **stagnated** as several major markets **phased out** or reduced **subsidies** while regulatory requirements remained **stagnant**. CO2 **targets** for cars in the EU **remained** the same between 2023 and 2024. In the US, where the Trump regime's proposed **cuts** to EV **tax credits** **will** likely see a **steep** drop in EV sales by 2030, EVs are now to **account for** 27% of total car sales, down from earlier **projections** of 48%.



There's a Chinese lesson for countries like India with high and growing domestic demand to make the **shift**: support through fiscal and policy **interventions** can **pay off**. With China now dominating the global EV **ecosystem**, this should make it easier for India to make the necessary '**gear shift**'. The longer India waits, though, the more it will have to **contend with** overcapacity of China's EV industry.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

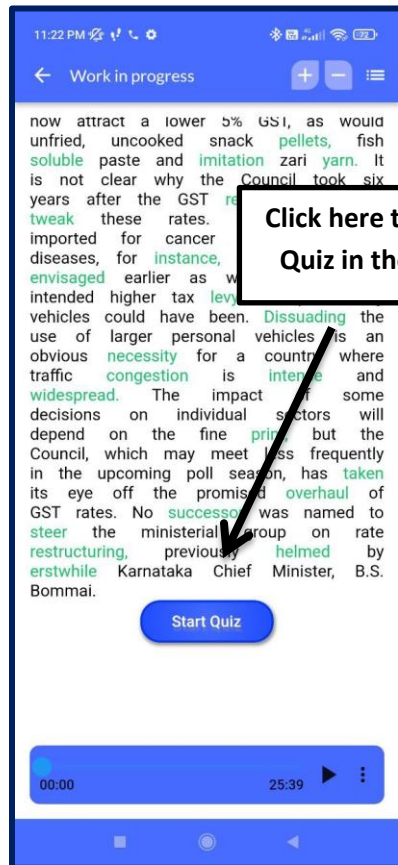
1. **Leap** (noun) – jump, surge, breakthrough, rise, bound छलांग
2. **Surpass** (verb) – exceed, outdo, overtake, outstrip, eclipse पार करना
3. **The likes of** (phrase) – people such as, examples like, similar individuals, notable figures, well-known types जैसे लोग
4. **Project** (verb) – estimate, predict, forecast, anticipate, expect अनुमान लगाना
5. **Likely** (adjective) – probable, expected, possible, anticipated, conceivable संभावित
6. **Demonstrate** (verb) – show, display, exhibit, prove, indicate प्रदर्शित करना
7. **Alignment** (noun) – coordination, harmony, arrangement, agreement, synchronization मेलजोल
8. **Fuel economy** (noun) – refers to how far a vehicle can travel on a specific amount of fuel ईंधन दक्षता
9. **Fiscal incentive** (noun) – financial benefit, tax relief, subsidy, monetary motivation, economic support वित्तीय प्रोत्साहन
10. **Drive** (verb) – propel, stimulate, push, boost, encourage प्रेरित करना
11. **Sync** (noun) – coordination, alignment, match, harmony, synchronization तालमेल
12. **Thrive** (verb) – flourish, prosper, grow, succeed, bloom फलना-फूलना
13. **Upfront cost** (noun) – an amount of money paid before a particular piece of work or a particular service is done or received. प्रारंभिक लागत
14. **Stagnate** (verb) – stall, slow, falter, become inactive, decay ठहर जाना
15. **Phase out** (phrasal verb) – eliminate gradually, discontinue, remove step-by-step, withdraw, retire धीरे-धीरे हटाना
16. **Subsidy** (noun) – financial aid, support, grant, allowance, assistance अनुदान
17. **Stagnant** (adjective) – inactive, still, sluggish, flat, dull स्थिर / ठहरा हुआ
18. **Tax credit** (noun) – an amount of money that taxpayers can subtract directly from the taxes they owe कर छूट
19. **Steep** (adjective) – sharp, sudden, drastic, high, excessive तीव्र / बहुत अधिक
20. **Account for** (phrasal verb) – comprise, make up, represent, form, constitute हिस्सा बनना

21. **Projection** (noun) – forecast, prediction, outlook, estimate, expectation अनुमान
22. **Shift** (noun) – change, transition, transformation, switch, movement बदलाव
23. **Intervention** (noun) – involvement, interference, action, mediation, participation हस्तक्षेप
24. **Pay off** (phrasal verb) – yield benefit, be rewarding, succeed, bring results, bear fruit लाभदायक होना
25. **Ecosystem** (noun) – environment, system, network, domain, biosphere पारिस्थितिकी तंत्र
26. **Gear shift** (noun) – transformation, turning point, change in direction, adjustment, transition दिशा परिवर्तन
27. **Contend** (with) (verb) – deal with, face, confront, cope with, tackle सामना करना

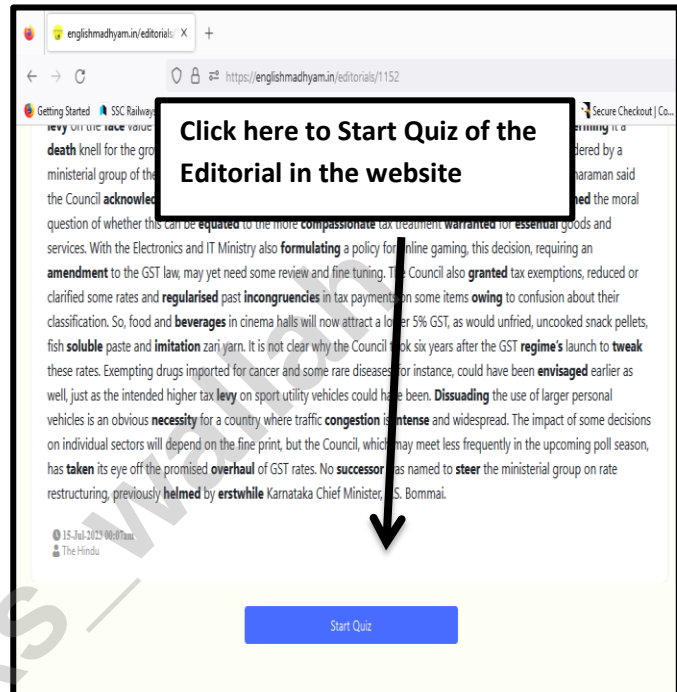
Summary of the Editorial

1. **EV Surge in China** – China is expected to account for two-thirds of the **22 million EVs** projected to be sold globally in 2025.
2. **Surpassing the US** – China's EV sales alone will likely exceed the **total number of passenger cars sold in the US**.
3. **Business-Climate Alignment** – The country is showcasing that **environmental goals** can align with **market success**.
4. **Policy-Driven Growth** – Government measures like **fuel economy rules, CO2 standards, and fiscal incentives** have significantly boosted EV demand.
5. **Climate-Market Sync** – China's success highlights a synchronization between **climate action** and **economic growth**.
6. **Importance of Support** – Strong and consistent **policy support is essential** for scaling expensive clean technologies like EVs.
7. **Europe's Example** – EV sales in Europe have **stalled** due to the **withdrawal of subsidies** and **stagnant regulations**.
8. **Regulatory Inertia** – The EU's **CO2 targets for cars remained unchanged** between 2023 and 2024, weakening momentum.
9. **US Slowdown** – The US is projected to see a **sharp drop in EV sales** (from 48% to 27% by 2030) due to proposed **EV tax credit cuts**.
10. **Chinese Dominance** – China now **dominates the global EV ecosystem**, giving it significant technological and economic advantages.
11. **Lesson for India** – India, with high vehicle demand, should learn from China and **boost EV adoption** through strategic interventions.
12. **Urgency for India** – Delaying action could leave India vulnerable to **Chinese overcapacity** and dependency on imports.
13. **Fiscal Incentives Work** – Subsidies and financial backing are shown to be **effective levers** for shaping green consumer behavior.
14. **Market Shift is Possible** – With the right policy signals, **climate-friendly tech can go mainstream**, as China has demonstrated.
15. **Time-Sensitive Opportunity** – Countries like India must act swiftly to **leverage global trends** or risk missing out on the EV transition.

Practice Exercise: Banking Pattern Based



Click here to Start Quiz in the App



Click here to Start Quiz of the Editorial in the website

[Click here to download App](#)

[Click here to visit website](#)



Learn Vocabulary Through Reading Articles

English Madhyam